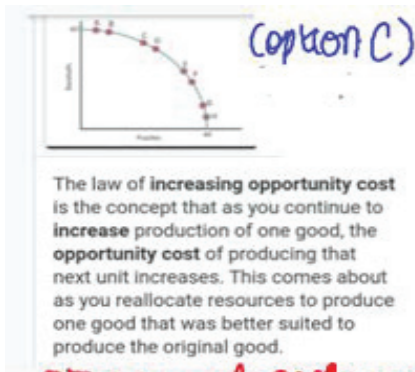


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1-C:



Option A and B. PPC is related to production and not 'consumption'

D: Increasing returns to scale represents economies of scale.

The bowed outwards or concave shape represents increasing opportunity cost.

2-C:

- A- This is incorrect as "private goods" are "rival" and "excludable" in nature
- B- This is incorrect as governments often engage in direct provision of some private goods, for example: merit goods that include healthcare.
- C- Yes, this is correct as public goods are "non-rival" and "non-excludable" in nature, which gives rise to free rider problem
- D- Public goods incur opportunity costs, as government's decision to produce them would lead to less funds available for other purposes, for e.g., investment in labor productivity.

3-B:

- 1: This is claiming that this particular method is the "best way" to assist the living standards of farmers, and due to it being a subjective, value judgement, this is a normative statement
- 2: This is a factual statement that a rise in the price of rice leads to a reduction in qty that is "demanded", thus making it a positive statement.

4-B:

A,C,D: Medium of exchange, standard of deferred payment and store of value are the functions of money.

B: Portability refers to the ease with which money can be moved, and is thus a "characteristic" of money, making this option correct

5-D:

“Inelastic demand” represents a lower degree of responsiveness of the consumer, whereby a larger proportionate change in price brings about a smaller proportionate change in qty demanded.

D is correct because the line “ **people like using their cars too much**” represents that the demand for cars is inelastic

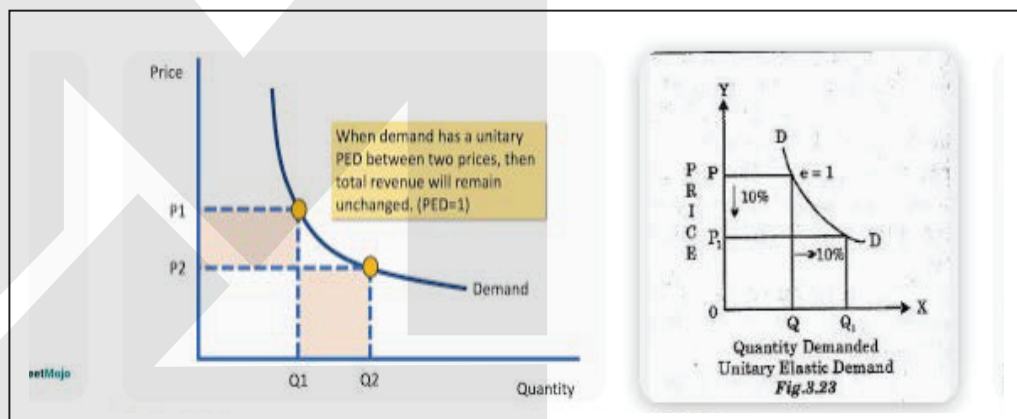
6-C

A-This line represents elastic demand, whereby a fall in price by a smaller percentage change brings an extension in qty demanded by a larger percentage, leading to a rise in Total expenditure.

B-This represents “inelastic demand” in the case of which a fall in price, even though causes a rise in sales, or in other words, qty demanded, this extension in qty demanded is by a smaller percentage, which leads to a fall in “total expenditure”

C-In case of a unitary elastic demand, a percentage change in price brings an equal percentage change in qty demanded in the opposite direction, leaving Total Revenue unchanged.

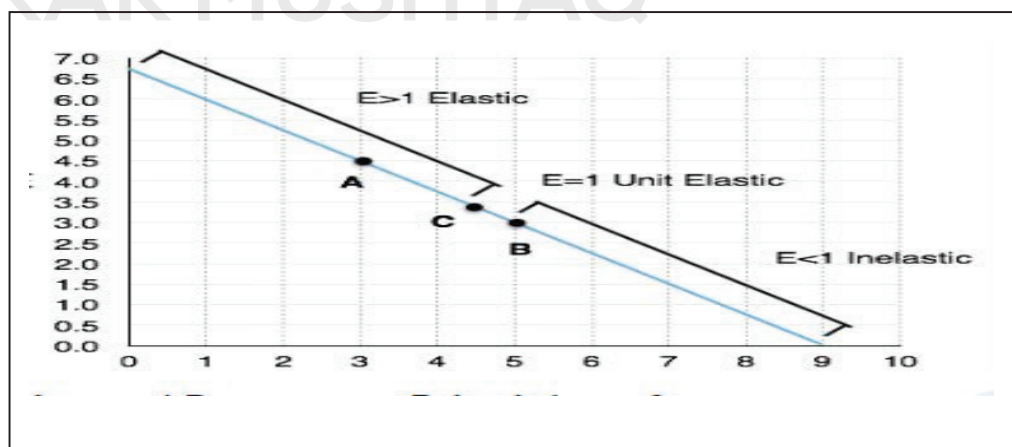
D-As price rises, the PED becomes elastic from inelastic, and this statement says that “it is inelastic at higher price level”, and “elastic at a lower price level”, which is absolutely incorrect. SEE THE DIAGRAM BELOW:



7-B:

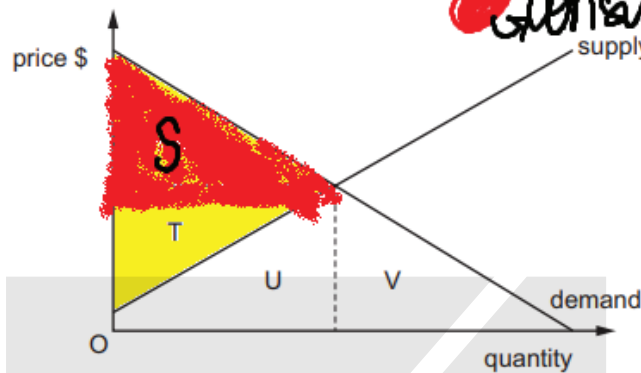
Producer surplus is the area below the price line and above the supply curve.

The diagram below explains why “T” will be the “producer surplus”



4

7 The diagram shows the market supply and demand for a good.



→ producer surplus
→ consumer surplus

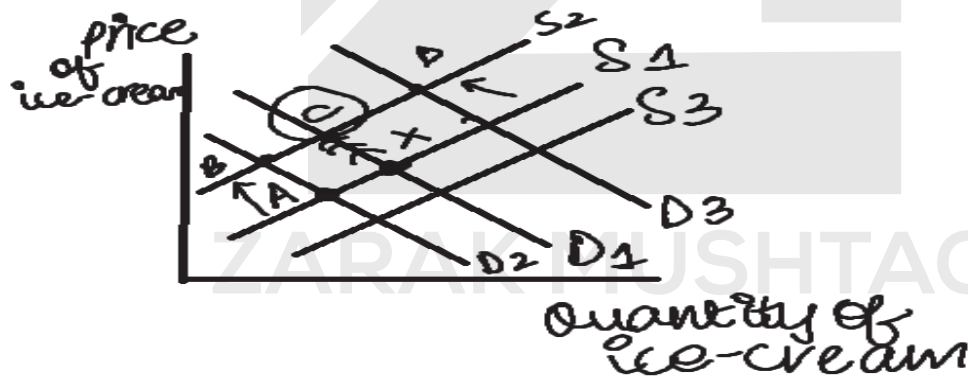
A – $S+T$ represents consumer surplus+ producer surplus

B_ "T" represents producer surplus

C_ "U" represents the region obtained by subtracting producer surplus from Total Revenue.

D_ "U+V" again does not represent "producer surplus"

8-c



An increase in the price of vanilla , that is a raw material used in the production of ice-creams , would result in an increase in costs of production of ice-creams ,causing a decrease in supply and in turn a leftward shift in the supply curve of ice-creams causing the new equilibrium point of "c" to be achieved.

9-C:

If a government reduces income taxes, this will increase disposable incomes and in turn “purchasing powers” subsequently leading to a **“rise in demand for normal goods”** that are superior high-quality goods which are luxurious in nature to replace “inferior substitutes”

Similarly, due to “imposition of sales tax”, the costs of production of ice-cream producers will increase, subsequently leading to a **“fall in supply of ice-creams”**

10-D:

In the question stated above, there is a larger proportionate change in quantity supplied of ice-creams (by 30%) in response to a proportionate change in price of ice-creams (by 20%), and the PES value of +1.5 represents **“elastic supply”**

- A- PES is not zero which means that it is not “perfectly inelastic supply”
- B- PES is not less than 1, which means it is not “inelastic supply”
- C- PES is not equal to 1, which means that it is not “unitary elastic supply”
- D- As spoken above, this represents elastic supply ($PES > 1$)

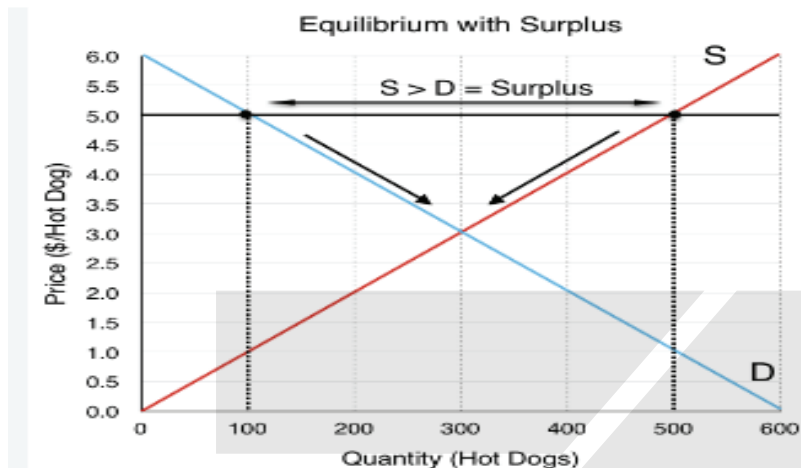
11-C;

We are interested in an option that does not cause a shift in the demand curve, and instead causes a “movement along the demand curve”

- A- A fall in the price of complements will increase the demand for the good due to a negative relationship between the price of one good and demand for another in case of complements.
- B- A new range of products entering the market represents that new substitutes are coming in, and if these substitutes offer themselves at competitive prices, there is a likelihood of a reduction in the demand for the good, causing the position to be changed.
- C- Similarly, a rise in labor costs of production reduces the supply for the good, causing a leftward shift in the supply of the good, and as a result of an “upward pressure” on prices, there is a contraction in qty demanded or in other words, movement along the demand curve, thus making this correct
- D- An increase in the price of a substitute good will increase the demand for the good because of a positive relationship between the price of one good and demand for another in case of substitutes, again causing the position of the demand curve to change.

12-C:

- A- Shortages are eliminated because of rises in price and not a fall in price. Instead, surpluses are reduced because of falling prices. See the diagram below.



- B- Similarly, this is incorrect as well, since it is a rise in price and not a fall, which causes the “consumer surplus” to reduce
- C- Yes, this is correct because, a fall in price will provide a signal to the producer to contract qty supplied, representing the “signaling function” of the price mechanism, helping to restore the equilibrium.
- D- This is incorrect as a fall in price would further “stimulate an extension in qty demanded”

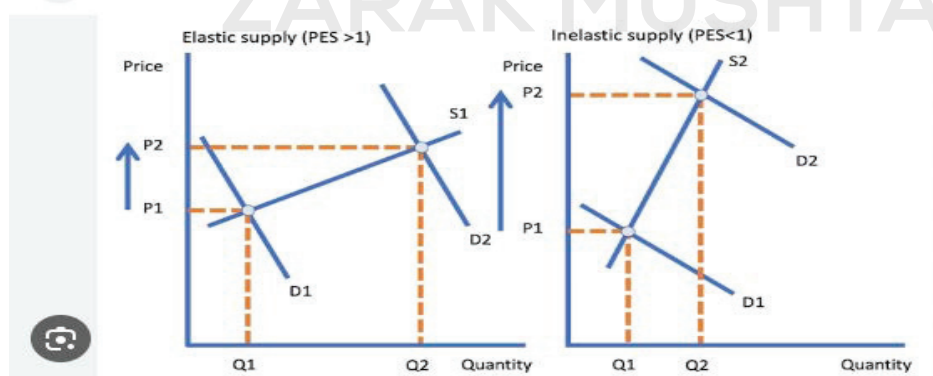
13-D:

A: Firms being able to raise revenues by increasing prices represents “inelastic demand”

B: Few substitutes for the product again represents “inelastic demand”

C: Demand increasing at a slower rate also hints towards “price elasticity of demand”

D: This is correct as inelastic supply measures a low degree of responsiveness of the producer because the firm is not able to adjust supply easily when demand changes. See diagram below.



14-B:

- A- Government allocating vouchers to citizens represents government action and this is not an outcome of "privatization"
- B- Yes, encouraging competition would improve efficiency, this is because this way, firms will not charge higher prices, and they will act to reduce costs
- C- Imposing a ceiling on the "profit margin", a particular firm can keep, will reduce incentives for firms, contributing to a rise in inefficiency.
- D- Again, increasing business taxes may lead to disincentive effects for firms, who would then choose to contract their scale of production, and as a result, tax evasion may occur as well.

15-B:

- * At income level of 10,000 incomes before and after tax is the same, that is, 10,000
- * This means that the marginal rate of tax is 0%. *marginal rate of tax $\frac{\text{change in tax}}{\text{change in income}} \times 100$

- * Income after tax rose by 75%.
$$\frac{\text{New} - \text{Old}}{\text{Old}} \times 100 \Rightarrow \frac{17500 - 10,000}{10,000} \times 100$$
- * This means 25% was taken in form of tax.

16-D: In year 1, the equilibrium price was OP3, whereas the equilibrium quantity was OQ2. In that year, maximum price of OP2 was imposed. Since it was imposed above the equilibrium, the price level will fall back to the equilibrium thus making price mechanism operational.

So, in year 1, the equilibrium price will be **OP3**, and qty will be **OQ2**.

In year 2, the demand curve shifts rightwards from D1 to D2. The maximum price level of P2 is the same, here it is imposed below the equilibrium so it will be effective, therefore the price in year 2 will be OP2, and since quantity traded here will be quantity supplied, the qty will be OQ3.

This is why no option other than option D can be correct.

17-D:

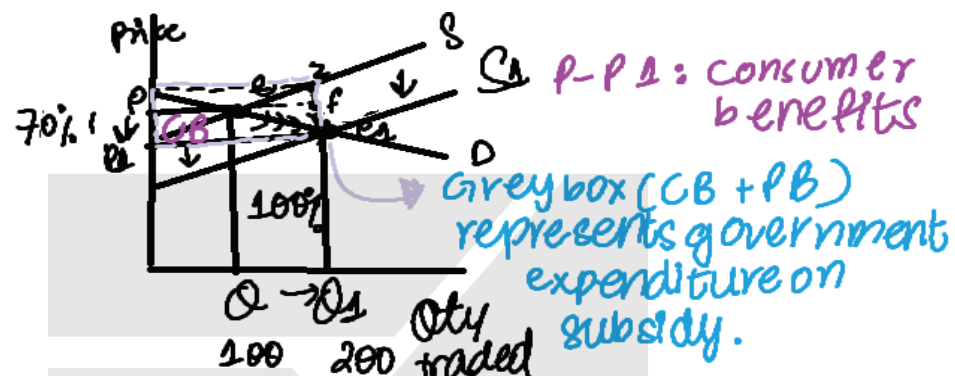
A: It is not necessary for a transfer payment to include a cash payment

B: Neither is it important for it to involve a banking transaction.

C: It is not important for it to “originate from government activity”

D: A transfer payment is made without receiving goods and services in exchange, that is, it does not involve a “productive activity” or “contribution to output”

18-D:



- _ When subsidy is given to a product with an elastic supply, producers will be able to respond more by passing benefits in form of reduced prices to consumers.
- _ Now, in response to this, in a case whereby the demand is elastic, there will be an extension in quantity demanded (QTY TRADED) by a relatively higher percentage.
- _ The formula for expenditure on subsidy is : per unit subsidy * new qty traded
- _ Since qty traded will be very high, the expenditure on subsidy will be the highest,

19-B:

A: A depreciation in the exchange rate after having made exports globally competitive, and imports relatively expensive, would lead to an extension in qty demanded of exports by a relatively higher percentage in the long run when the demand is elastic, coupled with a contraction in qty demanded of imports by a relatively higher percentage when the demand for them is elastic, representing a Balance of Trade surplus, which since represents “net injections” in to the circular flow, will lead to a rise in Aggregate demand, helping to recover from recession. **Here, the circumstance 2 is very problematic and indeed what will reduce the effectiveness of the policy, as if there is a global financial crisis, there would be a fall in demand for a country’s exports leading to declining export revenues, and in turn a fall in Aggregate demand.**

B: A situation whereby there are already higher interest rates, that would lead to a contractionary effect on Aggregate demand, a fall in interest rates as a result of a rise in money supply would affect the three main drivers of Aggregate demand, that is, it will cause a rise in consumption, investment and net exports. The policy becomes effective this way. Similarly, in circumstance 2, the country is already appreciated, but when as a result of a fall in interest rates, the currency depreciates, this would have an expansionary effect as a depreciation in the exchange rate after having made exports globally competitive, and imports relatively expensive, would lead to an extension in qty demanded of exports by a relatively higher percentage in the long run when the demand is elastic, coupled with a contraction in qty demanded of imports by a relatively higher percentage when the demand for them is elastic, representing a Balance of Trade surplus, which since represents “net injections” in to the circular flow,

will lead to a rise in Aggregate demand, helping to recover from recession. **This is why, this policy becomes effective**

C: When there is already a low Aggregate demand, a fall in interest rates due to rise in money supply would increase Aggregate demand acting as an “effective economic stimulus” in a time of recession. Simultaneously, if the inflation rate is above target level already, then a rise in Aggregate demand would lead to it increasing by more, which would make exports uncompetitive and in turn cause a contraction in export revenues, the condition being that the demand for them is elastic, which undermines the effectiveness of the policy

D: When there are already low nominal interest rates for example 2%, and the economy is facing low Aggregate demand, this represents problems relating to consumer confidence, and fall in the interest rates more, would not have a much greater “expansionary effect”

When there is a low spare capacity, representing “non-existence” of a deflationary gap, a rise in Aggregate demand will lead to it exceeding Aggregate supply leading to shortages, and in turn, a rise in general price level representing “demand pull inflation”, which would make exports uncompetitive and in turn cause a contraction in export revenues, the condition being that the demand for them is elastic, which undermines the effectiveness of the policy.

20-C:

C-Protectionism refers to the use of trade barriers, such as tariffs, quotas, and subsidies, to shield domestic industries from foreign competition. It aims to protect and promote the interests of local producers by making it more difficult or costly for foreign competitors to enter the domestic market. Protectionist measures are typically implemented to safeguard domestic industries, preserve jobs, and promote economic growth. **(THE INDUSTRY ARGUMENT)**

Let's examine why the other options are incorrect:

A: The protection of consumers against excessive prices is not typically associated with protectionism. Instead, measures such as price controls or consumer protection regulations are generally employed to address concerns related to excessive prices.

B: The protection of employees against exploitation by multinational companies does not fall under the concept of protectionism. Labor protection and regulation typically focus on ensuring fair wages, safe working conditions, and labor rights, but they are not specific to protectionism.

D: The protection of the foreign exchange rate against currency speculators is unrelated to protectionism. It involves actions taken by central banks or governments to stabilize or defend the value of their currency against speculative activities in the foreign exchange market.

21-C:

A: A fall in direct taxes after having increased disposable incomes would increase purchasing powers and in turn consumption, also on imported goods ,to rise , which will lead to a rise in the supply of currency, leading to a “depreciation of the exchange rate”

B: A fall in export orders represent a fall in “export revenues” leading to a fall in the demand for currency representing “depreciation of the exchange rate”

C: A rise in interest rates would increase the incentives to invest in the economy , and it would attract hot money inflows , leading to a rise in demand for currency representing “appreciation” of the exchange rate , making this option correct.

D: A rise in imports will lead to a rise in import expenditures , leading to a rise in the supply of currency representing “depreciation of the exchange rate”

22-B:

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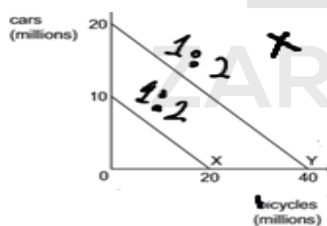
22 The table shows an approximate summary of the current account of the balance of payments for Thailand.

Bank of Thailand current account (millions of US dollars)		
		April 2018
1	exports	18 990
2	imports	(18 715)
3	trade balance	275
4	net services, primary income and secondary income	+ 1130

What is the current account balance, in millions of US dollars?

- A -855 **B 1405** C 1680 D 39 110

Export revenues
- Import expenditures
= Balance of trade
+ Balance of services + primary incomes and secondary incomes balance = Current account balance
 $275 + 1130 = 1405$



10 car : 20 bicycles
1 car : 2 bicycles
 $4 = 20 \text{ cars} = 40 \text{ bicycles}$
1 car : 2 bicycles

23-A:

- A- A – Parallel lines represent that the opportunity cost ratios will be the same, and consequently there would be no gains from trade. Instead, transportation costs will be incurred, which means that the trade should be ceased. This is why, this will be correct.
B- It can be seen above that the opportunity costs will be the same for both countries.
C- Since Y produces a greater qty of both goods, it can be said that it has an absolute advantage in producing both goods.

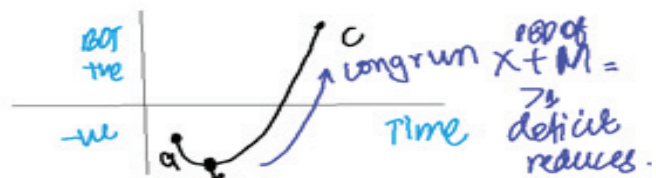
D- We can't say if Y has a faster rate of economic growth than X, based on parallel lines,

24-C:

24 A country has a balance of payments deficit. It devalues its currency. Which combination leads to a reduction in its balance of payments deficit in the long run?

	price-elasticity of demand for exports	price-elasticity of demand for imports
A	less than 0.5	less than 0.5
B	less than 1	zero (0)
<u>C</u>	more than 0.5	more than 0.5
D	zero (0)	less than 1

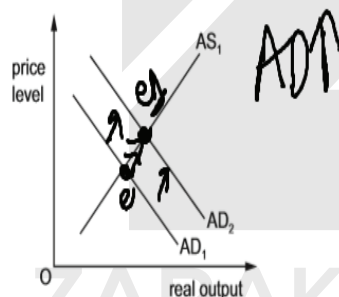
sum < 1
 < 2
 > 1
 < 1
 deficit
 increase
 increase
 decrease
 increase



According to the Marshall lerner condition, for devaluation to be effective, the combined sum of PED of imports and exports should be greater than 1.

25-C:

25 The diagram shows aggregate demand curves AD_1 and AD_2 and an aggregate supply curve AS_1 .



A) Investment: Higher interest rates increase the cost of borrowing for businesses, making it more expensive to finance investment projects. When the cost of borrowing rises, businesses may scale back their investment plans or postpone them altogether. This reduction in investment expenditure reduces Aggregate demand.

Consumption: Higher interest rates can also affect consumer behavior. When interest rates increase, borrowing costs for consumers rise, making it more expensive to finance big-ticket purchases such as homes, cars, or other durable goods. Higher borrowing costs may discourage consumers from taking on new loans or credit, leading to a decrease in consumption expenditure and a contraction in aggregate demand.

B) Cost reductions: Higher labor productivity can lead to cost reductions for businesses. When workers become more productive, it allows firms to produce more output without increasing their labor costs proportionally. This cost efficiency can enable businesses to lower their prices, making their goods and services more competitive in the market. Lower production costs can also incentivize firms to expand their operations, invest in new equipment, or adopt innovative technologies, which can further enhance aggregate supply.

What could cause the shift in the aggregate demand curve from AD_1 to AD_2 ?

- A a rise in the interest rates
- B a rise in output per worker
- C a rise in the budget deficit
- D a rise in the value of the exchange rate

C) Tax cuts: In some cases, a rise in the budget deficit may be accompanied by tax cuts or reductions in tax rates. Tax cuts increase the disposable income of individuals, which can stimulate consumer spending

Government spending: When the budget deficit increases, it typically implies that the government is spending more than it is collecting in revenue. This additional government spending injects more money into the economy, increasing aggregate demand. Government expenditures on infrastructure projects, social welfare programs, defense, and other public goods and services directly contribute to aggregate demand.

D) Exports become more expensive: When a currency appreciates, it becomes more expensive relative to other currencies. This makes the country's exports more costly for foreign buyers. As a result, the demand for exports may decrease, leading to a decline in export sales and a reduction in aggregate demand

26-A:

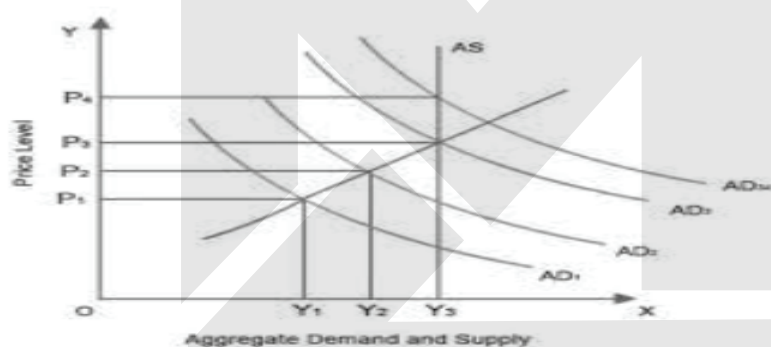
The country has artificially revalued the currency, this means that, when it moves towards a floating exchange rate system, there will be depreciation of the exchange rate .

A depreciation in the exchange rate ,may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus or a reduction in deficit (option C is going to be met) and these net-injections in to the circular flow, bring about an increase in Aggregate demand. This will lead to actual economic growth (option D is going to be met)

A rise in Aggregate demand will lead to a rise in production, and in turn a rise in demand for labor, leading to a rise in employment.(option B is going to be met)

This may bring demand pull inflation when Aggregate demand outpaces Aggregate Supply, and there are resultant shortages(This is why, low inflation rate (option A) is not likely to be achieved)

This is why, key A , becomes correct.



27-D:

A. Decreasing the price of imports: Devaluation does not lead to a decrease in the price of imports. Devaluation can make imports more expensive in domestic currency terms.

B. Decreasing the value of imports: Devaluation does not necessarily decrease the value of imports. The value of imports (expenditure on imports) depends on the quantity of goods or services imported and their prices. Devaluation affects the price of imports, but the impact on the value of imports will depend on the price elasticity of demand and other factors.

C. Worsening the balance of payments: Devaluation does not always worsen the balance of payments. While devaluation can have an effect on the balance of payments, it depends on the price elasticity of demand for exports and imports . Devaluation can lead to an improvement in the balance of payments if it stimulates export growth or reduces the demand for imports, **when the Marshall Lerner condition is fulfilled, that is the sum of PED for imports and exports is greater than 1.**

D. Worsening the terms of trade: Devaluation can potentially worsen the terms of trade. The terms of trade refer to the ratio at which a country can exchange its exports for imports. When a country devalues its currency, its exports become relatively cheaper for foreign buyers, while its imports become relatively more expensive for domestic consumers. This change in relative prices can result in a deterioration of the terms of trade. This is why, this becomes correct.

28-D:

To solve the problem of deflation, we need “expansionary policies”

There should be usage of “expansionary fiscal policy” and “expansionary monetary policy” shown through **a reduction in interest rates . This will make option D correct.**

29-A:

Reducing government expenditure represents “contractionary fiscal policy”

Reducing the level of education and training represents “contractionary supply side policy”

Reducing interest rates represents “expansionary monetary policy”

30-A:

An open economy is an economy that is open to international trade.

There would not be an element of net exports in the equation of Aggregate demand.

Therefore, the total will be $C+I+G$.

ZARAK MUSHTAQ